EQUITY RESEARCH · INITIATING COVERAGE

Infosys Limited

INFY | IT Services — Consolidated

RATING	CURRENT PRICE	FAIR VALUE (DCF)	UPSIDE
BUY	₹1,057	₹1,479	+39.9%

Market Capitalisation	₹4,28,620 Cr
52-Week High	₹1,728
Stock P/E (TTM)	14.2x
Price / Book	~4.6x (Book Value ₹229)
Dividend Yield	4.54%
ROE / ROCE (current)	31.9% / 40.0%
Valuation Method	10-yr DCF, base year FY25 (audited)

Investment view. We initiate coverage of Infosys Limited with a constructive view based on the DCF output, while flagging that the near-term operating and sentiment backdrop is genuinely weak. Our DCF, anchored to the last fully audited fiscal year (Mar 2025) rather than the unaudited Mar 2026 TTM column, implies a fair value of **INR 1,479/share** (precisely INR 1,478.998) against a current price of **INR 1,057**, representing **upside of approximately 39.9%** (39.924%). On this basis the stock screens as a **Buy**.

Statement basis: Consolidated, INR Crore (per-share in INR). Source: screener.in consolidated financials & cited public news. This document is for informational purposes only and is not investment advice. See disclaimer on final page.

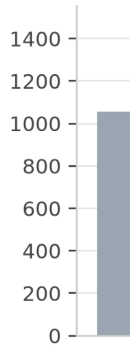
01 Executive Summary & Investment Thesis

We initiate coverage of Infosys Limited with a constructive view based on the DCF output, while flagging that the near-term operating and sentiment backdrop is genuinely weak. Our DCF, anchored to the last fully audited fiscal year (Mar 2025) rather than the unaudited Mar 2026 TTM column, implies a fair value of **INR 1,479/share** (precisely INR 1,478.998) against a current price of **INR 1,057**, representing **upside of approximately 39.9%** (39.924%). On this basis the stock screens as a **Buy**.

This needs two caveats. First, the valuation rests on assumptions not derived from Infosys's own data — a proxy beta of 0.85 (no historical price-return series was available to regress a real beta) and standard macro inputs for the risk-free rate (7.0%) and equity risk premium (6.5%). Second, the industry backdrop is deteriorating near-term: Infosys has guided FY27 revenue growth of only 1.5%-3.5%, the Nifty IT index and INFY stock have de-rated sharply in 2026 (down 27-33% YTD as of early June), and structural questions around AI disruption, US visa policy, and CEO succession are unresolved. The thesis is a valuation-gap argument tempered by real fundamental and sentiment risk, suited to multi-year-horizon investors.

Supporting facts: revenue grew from INR 53,319 Cr (Mar 2015) to INR 162,990 Cr (Mar 2025 audited base year; INR 178,650 Cr Mar 2026 TTM, unaudited). Current snapshot ROE is 31.9% and ROCE 40.0% (no historical year-by-year ROE series exists in the data). Stock P/E is 14.2x, Dividend Yield 4.54%, Book Value INR 229/share. WACC (12.36%) exceeds terminal growth (5.0%), satisfying the model's own internal sanity check (all_checks_passed: true).

Snapshot at a Glance	
Recommendation	BUY
Fair Value / Current Price	₹1,479 / ₹1,057
Implied Upside	+39.9%
WACC / Terminal Growth	12.36% / 5.0%



02 Industry Overview & Competitive Position

Infosys operates in global IT services/outsourcing, competing in digital transformation, cloud, application development, and AI-led consulting. Worldwide IT spending is forecast at $6.15 trillion in 2026 (+10.8% YoY, Gartner), with IT services the largest segment (~$1.87 trillion), but the services sub-sector faces "muted growth" and rising AI disruption risk. AI spending alone is projected to grow 47% YoY to $2.59 trillion in 2026, concentrated in infrastructure/software rather than labor-intensive services.

FY26 was subdued for Indian IT: Infosys grew revenue only 3.1% CC for the full year (Q4 FY26 revenue $5.04B, +4.1% CC), guiding FY27 growth of just 1.5%-3.5% and operating margin of 20%-22%, reflecting elongated client decision cycles and cautious US/Europe discretionary spend.

Competitive position. Infosys is Tier-1 alongside TCS, Wipro, HCLTech, with FY26 revenue of $20.16B and operating margin ~20.3% (adjusted ~21.0%). TCS outpaced peers on mega-deals; Infosys and HCLTech saw growth moderation; Coforge and Mphasis outgrew Tier-1 players. Infosys's differentiator is its "Infosys Topaz" AI platform. Despite this, the sector de-rated sharply in 2026 — Infosys, TCS, Wipro, HCLTech all down 27-33% YTD as of early June — on AI disruption fears compounded by geopolitical volatility (US-Israel-Iran tensions). On the positive side, Q4 FY26 net profit rose 21% YoY to Rs 8,501 crore, with FY26 large deal TCV of $14.9B (55% net new), an encouraging forward indicator.

03 Financial Analysis

Revenue and margins. Revenue grew from INR 53,319 Cr (Mar 2015) to INR 162,990 Cr (Mar 2025) and INR 178,650 Cr (Mar 2026 TTM) — roughly 3.1x over the decade to the audited base year. OPM has stayed in a 24%-28% band throughout (28% Mar 2015, 24% in Mar 2019/2023/2024/2025/2026), with no clear sustained trend. Operating profit rose from INR 14,883 Cr to INR 39,236 Cr (Mar 2025) / INR 42,280 Cr (Mar 2026 TTM).

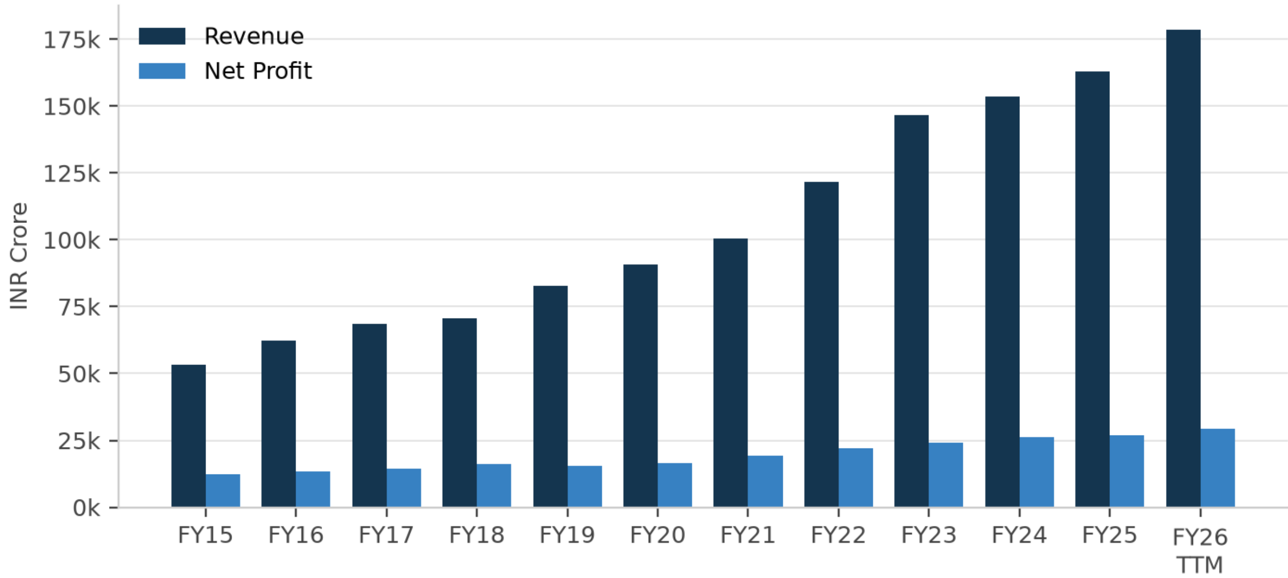
Profitability. Net profit grew from INR 12,372 Cr (Mar 2015) to INR 26,750 Cr (Mar 2025) / INR 29,474 Cr (Mar 2026 TTM); EPS rose from INR 26.93 to INR 64.32 (Mar 2025) / INR 72.59 (Mar 2026 TTM) — EPS growing faster than net profit due to a declining share count from buybacks and two confirmed 1:1 bonus issuances (FY16, FY19; verified as genuine corporate actions, not data errors).

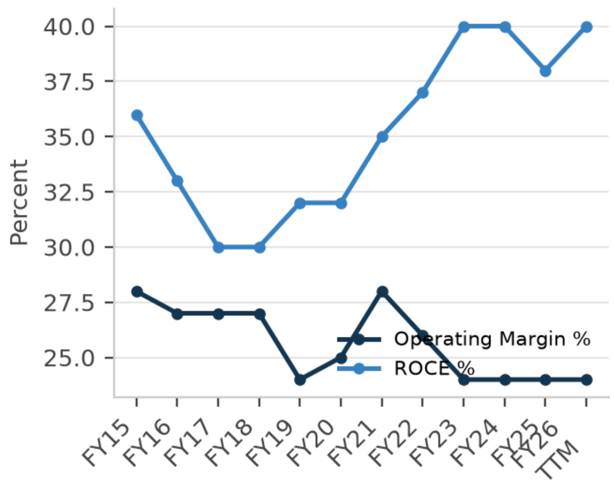
Returns. Current snapshot ROE 31.9%, ROCE 40.0% — strong for an asset-light services business. No historical year-by-year ROE series exists in the data (a genuine screener.in free-tier limitation, not an oversight). The historical ROCE series, however, is available and rose from 30% (Mar 2017/2018) to 40% (Mar 2023, 2024, 2026 TTM), with Mar 2025 at 38% — indicating structurally improving capital efficiency over the decade.

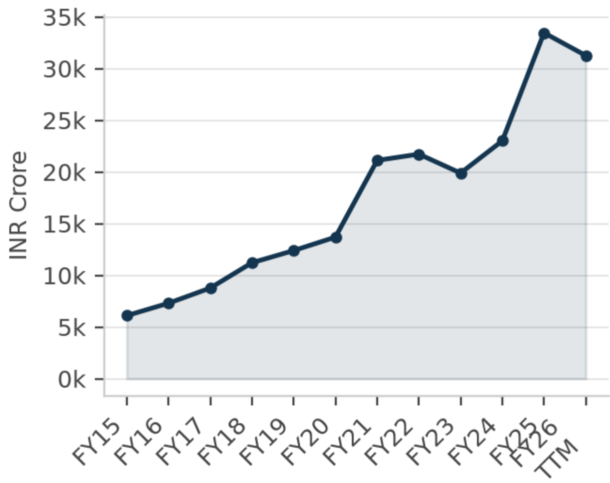
Cash generation. Free cash flow grew from INR 6,106 Cr (Mar 2015) to INR 33,457 Cr (Mar 2025), then dipped slightly to INR 31,259 Cr (Mar 2026 TTM) despite higher net profit, alongside a larger financing outflow (INR -39,786 Cr vs -24,161 Cr the prior year), likely reflecting larger buybacks/dividends. Note: the dataset's `cfo_to_op_percent` field has an unresolved definitional mismatch and is deliberately excluded from this analysis; we rely on directly reported CFO and FCF figures instead.

Balance sheet/leverage. Borrowings rose from zero (Mar 2015-2019) to INR 8,227 Cr (Mar 2025) / INR 9,176 Cr (Mar 2026 TTM), small relative to total assets of INR 147,795 Cr (Mar 2025) / INR 154,288 Cr (Mar 2026 TTM) and reserves of INR 93,745 Cr (Mar 2025) / INR 90,828 Cr (Mar 2026 TTM). The valuation engine's capital structure calc puts debt weight at just 1.88% (equity 98.12%), based on market cap INR 428,620 Cr vs. debt INR 8,227 Cr. No historical Debt-to-Equity series is available; only the current snapshot exists. The balance sheet passed all internal consistency checks (assets = liabilities exactly in all 12 years; PBT reconciles exactly each year).

Multiples. At INR 1,057, Stock P/E is 14.2x, Book Value INR 229/share (implying ~4.6x P/B), Dividend Yield 4.54%, market cap INR 428,620 Cr.





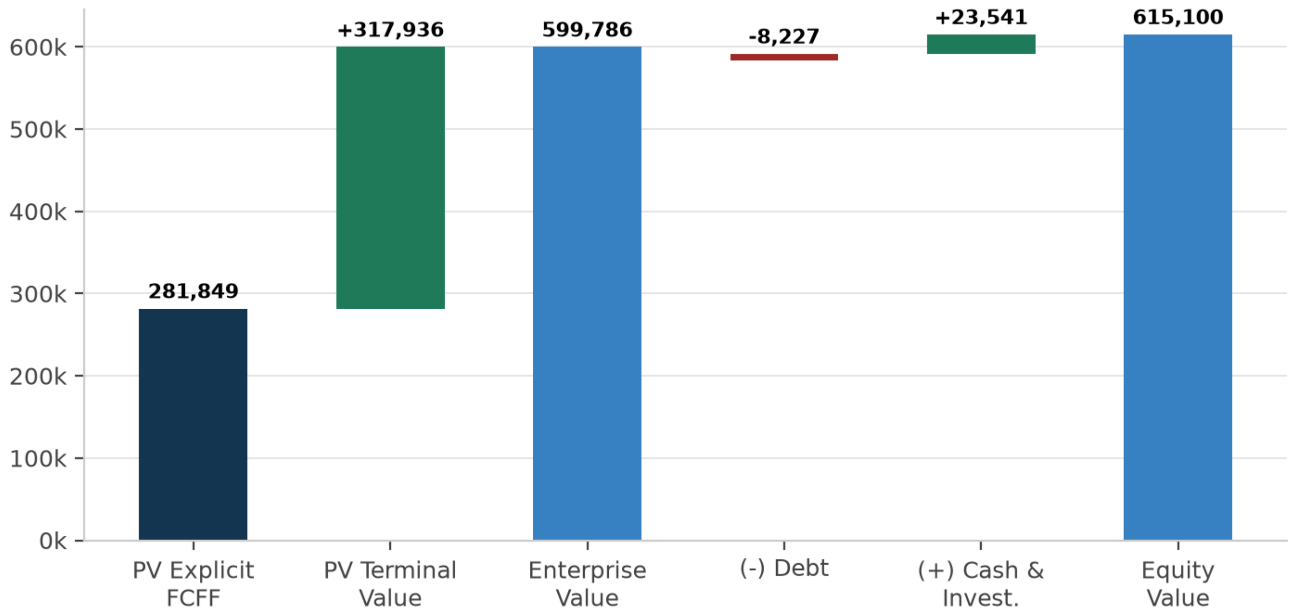


Metric	FY15	FY18	FY20	FY22	FY23	FY24	FY25	FY26
Revenue (INR Cr)	53,319	70,522	90,791	1,21,641	1,46,767	1,53,670	1,62,990	1,78,650
Operating Profit (INR Cr)	14,883	18,822	22,267	31,491	35,130	36,425	39,236	42,280
Operating Margin (%)	28	27	25	26	24	24	24	24
Net Profit (INR Cr)	12,372	16,029	16,639	22,146	24,108	26,248	26,750	29,474
EPS (INR)	26.93	36.69	38.96	52.56	58.08	63.20	64.32	72.59
Free Cash Flow (INR Cr)	6,106	11,220	13,696	21,724	19,888	23,009	33,457	31,259
ROCE (%)	36	30	32	37	40	40	38	40

04 Valuation

Key Assumptions	
Risk-free rate	7.00%
Equity risk premium	6.50%
Beta (proxy)	0.85
Cost of equity (CAPM)	12.53%
WACC	12.36%
Terminal growth	5.00%
Capital structure (E / D)	98.1% / 1.9%

DCF Output (INR Cr)	
PV of explicit FCFF	2,81,849
PV of terminal value	3,17,936
Enterprise value	5,99,786
Less: total debt	(8,227)
Plus: cash & investments	23,541
Equity value	**6,15,100**
Implied fair value / share	₹1,479



Year	Growth %	FCFF (INR Cr)	Discount Factor	PV (INR Cr)
1	11.0%	37,137	0.890	33,052
2	10.0%	40,851	0.792	32,358
3	9.0%	44,528	0.705	31,390
4	8.5%	48,312	0.627	30,311
5	8.0%	52,177	0.558	29,135
6	7.5%	56,091	0.497	27,875
7	7.0%	60,017	0.442	26,545
8	6.5%	63,918	0.394	25,160
9	6.0%	67,753	0.350	23,736
10	5.5%	71,480	0.312	22,287

05 Key Risks

COMPETITIVE **AI disruption.** generative/agentic AI threatens to automate application development, testing, and maintenance work historically billed on time-and-materials/headcount, compressing the core labor-arbitrage model.

MACRO **Muted demand.** elongated decision cycles and cautious US/Europe spend drove the FY27 guide of only 1.5%-3.5% growth — a sharp deceleration from the trailing 5-year revenue CAGR (~12.4%) anchoring the DCF's near-term growth.

REGULATORY **US H-1B visa changes.** DHS rule effective Feb 27, 2026 prioritizes higher-paid/skilled applicants, raising costs/reducing availability for Infosys's onsite/offshore staffing model; cited by the company as a driver of rising attrition.

GOVERNANCE **CEO succession.** Salil Parekh's term runs to March 2027; no successor named yet, an overhang during the AI repositioning push.

OPERATIONAL **Trainee-termination controversy.** hundreds terminated in 2025 after failing assessments, allegations of coerced resignations, a labor ministry investigation, and ongoing NITES complaints — reputational and legal exposure.

COMPETITIVE **Relative execution.** TCS, Coforge, and Mphasis outperforming on deal conversion/growth in the current cycle — possible share loss.

MACRO **Sector derating.** Nifty IT down ~24% in 2026 YTD; INFY down 27-33% YTD alongside peers, reflecting AI fears plus geopolitical volatility.

FINANCIAL-STATEMENT-DERIVED **Valuation-input risk.** beta, Rf, and ERP are all assumptions, not data-derived; given terminal value's outsized weight, a different rate environment would move fair value meaningfully.
